

EU and US Defence Sectors — Directional Analysis (13–20 May 2026)

EU and US Defence Sectors — Directional Analysis 13 May to 20 May 2026

OVERVIEW

The past seven days have intensified two converging trends: US retrenchment in Europe and European rearmament. Both dynamics create structural tailwinds for defence equities on both sides of the Atlantic, though with very different catalysts and timelines.

— — —

EU DEFENCE SECTOR

What happened

- Trump ordered the withdrawal of approximately 5,000 troops from Germany, to be completed over 6–12 months. The Pentagon confirmed the move and cancelled plans to deploy 4,000 troops to Poland.
- The US is also considering reducing troop presence in Italy and Spain, following Trump's criticism of those countries' responses to the Iran conflict.
- EU parliamentarians and member states are in the final stretch of "Readiness 2030" trilogue talks — a package aimed at streamlining defence procurement, slashing red tape, and boosting domestic production.
- Sweden ordered four navy frigates from France's Naval Group in a \$4 billion deal, tripling its air defence capacity as a new NATO member.
- The European Defence Agency reported defence expenditure reached €343 billion — a 19% rise from 2023.

Directional implication

The US troop withdrawals are the single most consequential event of the week. They force European governments to confront the gap directly. The Readiness 2030 talks reaching their final stretch suggests momentum is building, but sovereignty disputes over procurement eligibility remain unresolved — the French push for stricter European preference rules while Poland and others want flexibility.

The €343 billion spending figure confirms the macro trend is real, but the EDA itself noted that "bureaucratic complexity, protracted decision-making processes and unaligned planning cycles" continue to hamper collaborative programmes. The gap between political will and industrial execution remains wide.

The Swedish frigate deal signals that at least some NATO members are moving fast on capability gaps. This deal — a bilateral between Sweden and France — also highlights the fragmentation problem: individual deals rather than coordinated EU procurement.

Where it leads

- Medium-term (12–24 months): Accelerated defence spending across EU member states is inevitable. The EU Readiness 2030 package, if approved, will create a more predictable procurement environment and unlock multi-year contracts that European defence firms have been waiting for.
- Near-term (3–6 months): Expect more ad hoc bilateral deals (like the Swedish-French frigate deal) as governments act before EU-level coordination can catch up.
- Risk: The sovereignty dispute over procurement eligibility could delay or dilute the Readiness 2030 omnibus, leaving the EU with spending commitments but no

delivery mechanism.

— — —

US DEFENCE SECTOR

What happened

- Hancock Prospecting (Gina Rinehart) invested nearly \$97 million across four major US defence contractors: RTX (\$24.7M), Northrop Grumman (\$24.2M), L3Harris (\$24.2M), and Lockheed Martin (\$23.6M).
- Lockheed Martin secured an \$879.1M F-35 armament contract — part of a series of lucrative military deals in 2026.
- MarketBeat flagged seven defence stocks with highest dollar trading volume: Rocket Lab, Keysight Technologies, GE Aerospace, RTX, Redwire, Boeing, and Lockheed Martin.
- The XLU defensive sector has outpaced both inflation and the US 10-Year Treasury for almost two decades.

Directional implication

The Hancock Prospecting move is notable not for the absolute dollar size but for the signal it sends from one of the world's most successful investors. A \$97M allocation across the four largest US defence contractors — roughly evenly split — reads as a conviction bet on sustained defence spending, not a tactical trade.

LMT's \$879M F-35 contract confirms the platform is still the backbone of US and allied procurement. The F-35 remains the most significant Western fighter programme, and LMT's continued dominance in that programme provides durable revenue visibility.

The MarketBeat volume list is interesting because it includes both traditional defence primes (RTX, Boeing, LMT) and smaller space/cyber players (Rocket Lab, Redwire, Keysight). This breadth suggests capital is rotating into the entire defence ecosystem, not just the legacy primes.

Where it leads

- Near-term (3–6 months): US defence stocks remain structurally supported by multi-year procurement contracts, especially in aerospace and missile defence. LMT and RTX are the primary beneficiaries.
- Medium-term (12–24 months): The US troop reductions in Europe create a demand vacuum that US defence firms will partially fill through increased arms sales to European allies — F-35s, Patriot missiles, and related systems.
- Risk: If the US accelerates troop withdrawals or threatens NATO exit, European allies may accelerate indigenous production (e.g., FCAS, Tempest), reducing demand for US platforms in the medium term.

— — —

CONVERGENCE: THE TWO-THEATRE DYNAMIC

The EU and US defence sectors are moving in the same direction but through different mechanisms:

- US: Sustained spending driven by domestic procurement, F-35 dominance, and multi-year contracts. The defence sector is viewed as defensive during geopolitical tension, with XLU outpacing inflation for decades.
- EU: Forced spending driven by the security gap left by US retrenchment. The Readiness 2030 timeline (2030) is the anchor, but the pace of delivery remains uncertain.

Both regions face the same structural challenge: the gap between spending commitments and industrial delivery. European firms need multi-year contracts and faster permitting — US firms need sustained budget authority and supply chain resilience.

— — —

KEY WATCH ITEMS

• Readiness 2030 trilogue outcome — expected by end of June 2026 • US troop withdrawal timeline from Germany (6–12 months) • Potential US troop reductions from Italy and Spain • New bilateral defence deals between EU members • US defence contract awards in the \$500M+ range

— — —

REPORT PREPARED: 20-05-2026